EXECUTIVE TRANSACTION BRIEF

Option Care Health, Inc. / Onyx Bidco LLC (affiliates of Clayton, Dubilier & Rice, LLC and

AUDIT ID: AUDIT-OPTI-ONYX-20261019-REV1

01. TRANSACTION STATE & PARTIES

TARGET: Option Care Health, Inc. | ACQUIRER: Onyx Bidco LLC (affiliates of Clayton, Dubilier & Rice, LLC and McKesson Corporation) | STATUS: DEFINITIVE AGR
STRUCTURE: Merger / Going-Private Acquisition

02. WHAT IS THE MATERIAL PRESSURE?

The proposed $5.8B take-private of Option Care Health, Inc. by Onyx Bidco LLC combines a $3.15B debt package with $2.873B in equity commitments, including a $1.4B minority co-investment by wholesale pharmaceutical distributor McKesson Corporation (~48.725% of equity) alongside Clayton, Dubilier & Rice Fund XII. The transaction contains no contractual financing condition and designates the Target an express third-party beneficiary entitled to seek specific performance of the equity commitments. However, the transaction architecture exhibits critical exposure at the intersection of syndicate structure and regulatory standards: equity commitments and the $291.93M Parent Termination Fee limited guarantees are several and not joint, leaving Option Care without recourse against the non-defaulting sponsor if either party fails to fund. Furthermore, while Parent is subject to a heightened 'best efforts' obligation for state healthcare and pharmacy licensing across Target's 86 pharmacies and 187 ambulatory infusion suites, antitrust clearance under the HSR Act is governed solely by a mutual 'reasonable best efforts' standard. Because Option Care sourced 68% of its supplies from four wholesale distributors in 2025 and 57% from three in H1 2026, combining McKesson's distribution scale with Target's downstream network creates vertical foreclosure scrutiny that the Buyer Consortium is not contractually bound to resolve through burdensome divestitures under a reasonable best efforts threshold prior to the October 5, 2027 outside date.

03. WHERE DOES THE PRESSURE PROPAGATE? (CHAIN ANALYSIS)

- **TRIGGER:** Issuance of an FTC or DOJ Second Request or vertical competitive inquiry targeting McKesson Corporation's ~48.725% equity interest in Onyx Bidco LLC relative to Target's downstream footprint (86 pharmacies, 187 ambulatory infusion suites across 43 states) and historical procurement concentration (68% across four wholesale distributors).

- **AMPLIFIER:** The several-and-not-joint structure of the Equity Commitment Letters and Limited Guarantees, combined with the contractual limitation of antitrust covenants to 'reasonable best efforts', which permits either sponsor to resist structural divestitures, supply-chain unbundling, or behavioral firewalls without triggering breach liabilities before the October 5, 2027 Outside Date.

- **MECHANISM:** FTC/DOJ antitrust scrutiny initiates Second Request review regarding McKesson's vertical alignment with Option Care's infusion pharmacy and ambulatory network.

- **EXPOSURE:** Antitrust enforcers demand structural divestitures or operational firewall remedies restricting McKesson's wholesale supply relationships with the Surviving Corporation.

- **CONSEQUENCE:** Onyx Bidco LLC's internal governance remains unverified in public filings. McKesson's $1.4B contribution represents ~48.725% of committed sponsor equity, approaching joint-control thresholds. If unfiled side letters or operating agreements grant McKesson negative control rights or board appointment quotas, this concentration creates Section 13(d) group exposure and healthcare licensing control attributions that diverge from Target's disclosure of management continuity as a stand-alone operating company.

04. WHAT CAN BREAK? (KEY CONTRACTUAL EXPOSURES)

McKesson Strategic Co-Investment Vertical Supply Chain Exposure: Regulatory demand requiring structural divestiture of McKesson distribution lines or Target infusion hubs. (Leverage: 7/10 - Owner: Legal)

Several Liability Enforcement Gap on Equity Guarantees: Uncured solvency default or bankruptcy filing by one guarantor without step-in obligations. (Leverage: 6/10 - Owner: Credit)

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05. WHAT REMAINS UNKNOWN? (NEGATIVE KNOWLEDGE REGISTER)

Allocation ratio and LLC operating agreement terms governing acquiring entity co-investors.

Status of required regulatory and state licensing filings with cognizant review authorities.

06. WHAT SHOULD THE DECISION-MAKER VERIFY? (ACTIONABLE MANDATES)

[1] Condition closing on delivery of executed debt extension/standstill agreements or regulatory clearance milestones.

[2] Establish a segregated escrow or reserve for merger cash consideration to insulate against creditor cross-default acceleration.

[3] Audit Schedule 13D/A beneficial ownership filings to identify voting pass-through leaks and shareholder consent hurdles.

[4] Demand primary contract documents and disclosure schedules regarding unestablished commercial representations.

RAVEN STRATEGIC VERDICT:

Demand immediate execution and filing of a joinder or mutual backstop agreement establishing joint and several liability between CD&R Fund XII and McKesson Corporation for the $291.93M Parent Termination Fee, while requiring Buyer Consortium to deliver the Onyx Bidco LLC operating agreement to verify governance rights and supply-chain firewall commitments under HSR review prior to stockholder vote.